

FINANCE MODULE — LESSON: CPAF, BURN RATE & AWARD FEE

Award Fee Determination Plan (AFDP) — Excerpt

Example Task Order — Distributed Network Support Operations (DNSO), Evaluation Period 4

This excerpt is sanitized from a real Cost-Plus-Award-Fee (CPAF) Award Fee Determination Plan. The mechanics — evaluation periods, rating scale, allocation methods — are standard FAR-based structure used across federal CPAF contracts. Names and dollar figures are fictional.

Section 1: What This Document Replaces

A Quality Assurance Surveillance Plan (QASP) is required under FAR 46.401 for most service contracts. On a CPAF task order, the AFDP replaces the QASP — it's the rulebook for how the contractor's performance gets converted into a dollar amount of award fee. The Government can revise the AFDP unilaterally, though it will typically give the contractor 15 workdays' notice before a change takes effect.

Section 2: Evaluation Periods

The Government evaluates performance every six months. Each CPAF labor CLIN runs on two distinct six-month evaluation windows within a 12-month period.

CLIN(s)	Period	Evaluation Window
0001	1	Jan 17, 2024 – Jul 16, 2024
0001-1001	2	Jul 17, 2024 – Mar 16, 2025
1001	3	Feb 1, 2025 – Jul 31, 2025
2001	4	Aug 1, 2025 – Jan 31, 2026

Section 3: Award Fee Pool Allocation Methods

The maximum Award Fee Pool for this example task order over its 5-year life is \$12,500,000 (illustrative). There are exactly two allowable methods to determine how much of that pool is available in a given evaluation period:

Method	When Used
Incurred Cost	Default for the first evaluation period, and any period with variable/surging levels of effort. Based on actual costs incurred, reported via the contractor's approved Cost Accounting System.
Planned Value	Used only when budget and level of effort are consistent. Requires the AFDP to be incorporated by modification with a pre-agreed planned cost for the period.

Four methods are explicitly prohibited: Funded Cost, Estimated Cost, Equal Distribution, and Weighted Distribution. Each of these would artificially inflate the effective award fee percentage above what was negotiated at award — that's exactly why the FAR structure locks them out.

Section 4: Award Fee Results Reporting (Sample)

Period	Cost Incurred	Fee Pool Allocation	Earned Fee %	Earned Fee \$	Unearned Fee \$
1	\$2,650,000	\$358,000	91%	\$325,780	\$32,220
2	\$7,180,000	\$970,000	95%	\$921,500	\$48,500
3	\$3,760,000	\$508,000	97%	\$492,760	\$15,240

Figures are illustrative and rounded for teaching purposes.

Section 5: Award Fee Evaluation Ratings

This adjectival scale is the actual heart of CPAF. Every performance category gets graded against this same word-picture standard so every evaluator scores consistently.

Adjectival Rating	% of Fee	Definition
Excellent	91%–100%	Exceeded almost all significant award-fee criteria; met overall cost, schedule, and technical performance requirements.
Very Good	76%–90%	Exceeded most significant award-fee criteria with only minor, easily-corrected shortfalls.
Good	51%–75%	Exceeded a handful of criteria but showed some notable weaknesses requiring Government follow-up.
Satisfactory	≤50%	Met overall cost, schedule, and technical performance requirements — nothing more.
Unsatisfactory	0%	Failed to meet overall cost, schedule, or technical performance requirements.

Section 6: Who Decides the Fee

Role	Responsibility
Award Fee Determination Official (AFDO)	Final decision-maker. Determines the actual award fee earned each period, based on the AFEB's recommendation.
Award Fee Evaluation Board (AFEB)	Chairperson plus voting members (client reps, COR) who evaluate performance and recommend a fee percentage to the AFDO.
Performance Monitors	Government staff who track day-to-day contractor performance in their assigned technical area and feed scorecards to the AFEB.

FROM LUCAS

Here's what most people miss about CPAF: the AFDO is not bound by the AFEB's recommendation. The Board advises, the AFDO decides. I've seen contractors build their whole strategy around impressing the day-to-day Performance Monitors and completely ignore that the actual decision sits one level up. Know your AFDO. Know what THEY care about — usually mission outcomes, not paperwork polish.